

- 12 The depreciation method that allocates equal expense each year is:
 a) Diminishing balance method b) Units of production method
 c) Straight-line method d) Annuity method
- Q2. Solve the following.
- A) Define contribution margin and break-even point. State the meaning of the cost management system. A firm has fixed costs of ₹50,000, a selling price of ₹200, and a variable cost of ₹120. Compute the break-even units. 6
- B) Explain the importance of forecasting in managerial decision-making. 6
- Q3. Solve the following.
- A) Define master budget and flexible budget. Discuss the importance of budgeting in organizations. 6
- B) Describe the flow of costs in process costing. 6
- Q4. Solve Any Two of the following.
- A) List the components of financial statements. Explain the purpose of financial statement analysis. 6
- B) Define present value and future value. Describe the concept of the time value of money. 6
- C) State liquidity and profitability ratios. Explain the significance of ratio analysis. 6
- Q5. Solve Any Two of the following.
- A) Define depreciation and its causes. Explain why depreciation is charged on assets. 6
- B) List elements of directing. Explain leadership and motivation in directing. 6
- C) Compare classical and modern management theories with respect to any SIX points. 6
- Q6. Solve Any Two of the following.
- A) Define product development. Explain the stages of product development. 6
- B) Define capacity planning. Describe the relationship between forecasting and capacity planning. 6
- C) List types of plant layouts. Explain the objectives of plant layout. 6

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